



January 10, 2024

Representative Wm. Weston J. Newton
Chairman, House Judiciary Committee
512 Blatt Bldg.
1105 Pendleton St,
Columbia, South Carolina 29201

Representative John Richard C. King
2nd Vice Chair, House Judiciary Committee
309B Blatt Bldg.
1105 Pendleton St,
Columbia, South Carolina 29201

Representative Wallace H. "Jay" Jordan, Jr.
1st Vice Chair, House Judiciary Committee
519B Blatt Bldg.
1105 Pendleton St,
Columbia, South Carolina 29201

RE: Ad Trade Letter in Opposition to South Carolina H 4700

Dear Chairman Newton, 1st Vice Chair Jordan, and 2nd Vice Chair King:

On behalf of the advertising industry, we oppose South Carolina H 4700.¹ We write to express our significant concerns with the proposed legislation and provide a non-exhaustive list of those concerns below.

We and the companies we represent, many of whom do substantial business in South Carolina, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies. However, as presently drafted, H 4700 raises significant First Amendment concerns for South Carolina minors and businesses alike, and it would also have negative effects on South Carolina minors by limiting the content and information available to them. **We therefore respectfully ask you to decline to advance the bill as presently drafted.**

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.² Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls.

¹ South Carolina H 4700 (Reg. Sess. 2024), located [here](#).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.



I. The bill imposes unconstitutional restraints on access to information by South Carolina minors.

By flatly banning *any form of advertising* to South Carolina minors through their social media accounts, with zero exceptions, H 4700 is overinclusive and therefore unconstitutional. All Americans, including South Carolina's minors, have a First Amendment right to receive truthful advertising. It is not clear what governmental interest H 4700's total prohibition on advertising to South Carolina minors purports to advance. Nor can a total ban without exceptions be narrowly tailored to advance any objective.³ Simply put, the bill's complete prohibition on the display of advertising to a South Carolina minor account holder violates South Carolina minors' First Amendment right to receive lawful information.

II. The bill also imposes unconstitutional restraints on the lawful commercial speech of businesses and nonprofits.

H 4700 impinges on the First Amendment rights of businesses and mission-driven nonprofits to communicate their lawful messages. Time and time again, courts have affirmed First Amendment protections for commercial speech such as advertising by making clear that consumers, businesses, and society overall have strong interests in the free flow of commercial information.⁴ If enacted, H 4700 would prohibit myriad South Carolina businesses and nonprofits from efficiently reaching teenagers with their important messages, including churches, emergency assistance humanitarian organizations, housing organizations, and countless other charitable organizations on channels frequented by these audiences.

III. The broad sweep of the bill would limit South Carolina minors' ability to access important information online.

Outlawing advertising to South Carolina minors would prevent South Carolina teenagers from reaching a wealth of information and content that otherwise would be at their fingertips. H 4700 would treat a South Carolina 7-year-old the same as a 15-year-old. A one-size-fits-all approach would disadvantage both of these age groups by failing to account for the significant differences between these groups in terms of their use of the Internet. The bill's ban would hamper older minors' growth by limiting access to information and resources that could be foundational to their maturation, development, and education. It would limit their ability to access information about universities, trade programs, military recruitment, job opportunities, cars, apartments, and other resources for their future. It would also restrict them from being active participants in the digital economy, which could have a significant and negative impact on South Carolina businesses. Shrinking the variety of products, services, content, viewpoints, voices, and information 17-year-

³ *Central Hudson Gas & Elec. Corp. v. Public Service Commission of New York*, 447 U.S. 557, 564-66 (1980).

⁴ See, e.g., *Va. Pharmacy Bd. v. Va. Consumer Council*, 425 U.S. 748, 756-57 (1976); *Sorrell et. al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).



olds can reach and depriving this cohort of the Internet's vast benefits will not protect them, but instead will ensure they will not have the same experience with the Internet as their contemporaries living in other states.

IV. The bill could unintentionally expose South Carolina minors to harm.

The bill's age-gating requirements could effectively force companies to maintain databases of South Carolina minors' ages to prevent them from creating or accessing social media accounts. Such an outcome could be an attractive target for a nefarious individual or party to seek information about minors.

V. A private right of action is an inappropriate form of enforcement for privacy legislation.

As presently drafted, H 4700 allows for private litigants to bring lawsuits.⁵ We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the South Carolina Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for South Carolina residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The private right of action in H 4700 will create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood South Carolina's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.⁶ Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action will have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to

⁵ H 4700 at § 39-5-890.

⁶ A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located [here](#).



extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action will also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.⁷

Beyond the staggering cost to South Carolina businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage legislators to remove the private right of action from the bill and replace it with a framework that makes enforcement responsibility the purview of the AG alone.

While we agree with protecting South Carolina minors online, H 4700 would do the opposite while imposing a severe, unnecessary, and unconstitutional restriction on advertising. We urge you to defend the constitutional rights of South Carolina businesses and minors, and we encourage you to take steps to ensure South Carolina teens can continue to participate in the digital economy. We ask you to decline to advance H 4700 as presently drafted. We would welcome a meeting with you to further explain our concerns with the proposed legislation.

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⁷ For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located [here](#). Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*



Thank you for your consideration of this letter.

Sincerely,

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CC: Co-Sponsors of H 4700

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